

clear



₹8 Cr in Blocked ITC. 60% Portal Match Rate. & a SEBI Governance Risk.

How an Energy Major unlocked ₹8 Cr in ITC
and improved portal match from 60 to 93%.

Enterprise Scale

151 GST registrations

2.5L+ annual invoices

~ 5,000 vendors

Multi-state operations

SEBI Risk Trigger

Internal Digital Assurance assessment revealed:



2B vs Books ITC match rate at 60–65%:

A significant portion of purchase invoices reflected on the GST portal were not matching with books. ITC visibility depended on post-facto vendor follow-ups rather than system-driven validation.



₹8 Cr ITC blocked due to vendor non-compliance:

Vendor filing delays and mismatches directly impacted input credit availability. There was no upstream mechanism to identify non-compliant vendors.



GL vs TRACES reconciliation gaps:

TDS deductions in books were not continuously aligned with TRACES data. Correction entries and challan adjustments required manual intervention and periodic review.



Annual 26AS reconciliation:

Portal credits were reconciled only annually, resulting in limited quarterly visibility and reactive advance tax alignment.

Under SEBI Digital Assurance, these differences must be management-certified and auditor-reviewed

The exposure was not just ITC, it was cross-portal control integrity.



AI-Led Control Architecture

Clear Finance Cloud implemented three structural AI layers.



1. Integration AI Agent + Recon Agent

Deployed AI-driven GSTR-2B vs Books reconciliation across all 151 GSTINs to create transaction-level alignment between GST portal data and purchase registers.

Vendor-level compliance monitoring was embedded into the workflow, enabling continuous GST portal validation before return finalisation.

Impact

₹8 Cr
ITC unlocked

ITC match improved from
60–65% → 93%

Significant reduction in
GST demand notices

Pre-filing
variance visibility



2. TDS Workbench + Transaction Intelligence

Established full transaction-level alignment between the General Ledger and TRACES to ensure every deduction reported in books matched portal records.

AI-driven TDS section classification, automated correction mapping, and rate validations were embedded to eliminate mismatches before filing.

Impact

99% Books vs TRACES
reconciliation accuracy

Elimination of
short-deduction exposure

Audit-readiness through
Clause 34 exception support



3. Advanced 26AS / AIS Reconciliation

Implemented AI-based Many to Many reconciliation between books and 26AS/AIS using cross-FY matching logic to address timing differences.

Quarterly portal validation replaced annual reconciliation to ensure continuous visibility into TDS credits and portal alignment.

Impact

90%+

portal match rate

Improved

TDS credit tracking

SEBI Readiness Outcome

The organisation transitioned from fragmented reconciliation to continuous AI-driven cross-portal control.

From a SEBI Digital Assurance standpoint, this enabled:

- Management certification backed by system evidence
- Documented variance tracking
- Audit-ready portal alignment
- Reduced governance and perception risk

When management explanation depends on system alignment, spreadsheets are no longer sufficient. Continuous, AI-validated reconciliation becomes financial reporting infrastructure.

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